Quillwood Credit Partners

Origination and credit | Internal working paper

Investment Committee Minutes Calder Hills

Approval of the senior secured lease-up facility, meeting of 3 March 2026

Quillwood Investment Committee

Meeting date: 3 March 2026

Status: Final, subject to confirmation at the next meeting

Internal. Confidential.

Reference: QCP-IC-2026-009 | QCP-RE-2024-0211

Date: 3 March 2026

Synthetic - for demonstration. All names, entities and figures are fictional.

Confidential. Prepared for the addressee only and not to be relied on by any other party.

1. Meeting details

Borrower	Calder Hills Pty Ltd, ABN 88 473 105 274
Sponsor	Calder Property Group
Property	Calder Hills, Hornsby NSW (196 build-to-rent apartments)
Deal reference	QCP-RE-2024-0211
Paper considered	Credit paper dated 24 February 2026
Meeting date	3 March 2026
Prepared by	Quillwood Credit Partners, Investment Committee secretariat

Table 1. Meeting and transaction details

2. Attendees and apologies

Role	Capacity	Attendance
Chair, Investment Committee	Voting	Present
Chief Investment Officer	Voting	Present
Head of Real Estate Credit	Voting	Present
Chief Risk Officer	Voting	Present
Head of Portfolio Management	Voting	Present
Independent committee member	Voting	Present
Deal lead and credit analyst	Presenting	Present
General Counsel	Advisory	Present
Committee secretary	Minutes	Present
Head of Finance	Voting	Apology

Table 2. Attendees by role

A quorum was present throughout. No member declared a conflict of interest in relation to the borrower or the sponsor.

3. Executive summary and recommendation

The deal lead presented the paper of 24 February 2026, which recommends a senior secured investment facility of A$62.0M to Calder Hills Pty Ltd. The facility will refinance the construction facility at practical completion and fund lease-up of the 196-apartment build-to-rent asset at Hornsby. It is a short bridge to stabilisation, with a maturity of 30 November 2026 and repayment from a sale to an institutional build-to-rent investor or a refinance.

The paper recommends approval on the terms in section 4. The recommendation rests on a low opening loan to value ratio, a first-ranking mortgage over a completed asset, a funded interest reserve and a sponsor with a record of delivering stabilised build-to-rent assets.

4. Transaction and approved terms

The facility is fully drawn at financial close, targeted for 31 March 2026. Interest is paid monthly in cash from net operating income, with the interest reserve held by the lender as support during lease-up.

Term	Approved position
Facility	Senior secured investment (lease-up) facility
Limit	A$62.0M, fully drawn at financial close
Purpose	Refinance construction facility at practical completion and fund lease-up
Financial close	31 March 2026
Maturity	30 November 2026
Interest	3-month BBSW plus 4.60%, paid monthly
Interest reserve	A$1.9M, held by the lender
Security	First-ranking mortgage over Calder Hills; general security deed
Sponsor and guarantor	Calder Property Group Holdings Pty Ltd
Exit	Sale to an institutional build-to-rent investor or refinance on stabilisation

Table 3. Approved terms (agree to the facility summary)

5. Borrower, sponsor and security

Calder Hills Pty Ltd is a special purpose vehicle owned by Calder Property Group, a Sydney development and build-to-rent group. Calder Property Group Holdings Pty Ltd will act as guarantor. The committee noted that this sponsor has delivered the asset to practical completion and is responsible for the leasing plan.

Security is a first-ranking mortgage over Calder Hills and a general security deed over the borrower. The value at practical completion, assessed in March 2026, is A$211.5M. On the A$62.0M limit, the opening loan to value ratio is 29.3%. Value would need to fall by about 46.7%, to A$112.7M, before the 55.0% covenant was breached.

6. Financial analysis

At 3-month BBSW of 3.85% and a margin of 4.60%, the all-in rate is 8.45%. Annualised interest on A$62.0M is therefore about A$5.24M, or A$0.44M a month. The A$1.9M interest reserve covers about four months of interest if net operating income were nil.

The paper assumed lease-up of 26 apartments a month, with occupancy of 90% by October 2026, on a two-week free rent incentive and a two-bedroom budget rent of A$1,120 a week. Stabilised net operating income is forecast at A$8.61M, which gives interest cover of 1.64x on current interest. The interest cover covenant of 1.25x requires annualised net operating income of about A$6.55M, or roughly 76% of the stabilised level.

Measure	Level	Basis
Facility limit	A$62.0M	Fully drawn
Value at practical completion	A$211.5M	March 2026 valuation
Loan to value ratio	29.3%	A$62.0M / A$211.5M
Annualised interest	A$5.24M	8.45% all-in rate
Stabilised net operating income	A$8.61M	Credit paper forecast
Interest cover at stabilisation	1.64x	A$8.61M / A$5.24M
Interest reserve	A$1.9M	About four months of interest

Table 4. Key credit metrics

7. Discussion

The committee discussed the following points.

- Tenor and exit. Members noted that the eight-month tenor leaves little room if lease-up is slower than plan. The first interest cover test falls on 30 September 2026, two months before maturity. The deal lead confirmed that the exit relies on a sale or refinance at stabilised occupancy, and that no extension is committed. Any extension would be a new credit decision.
- Leasing pace. The Chief Risk Officer asked how sensitive the plan is to the 26 apartments a month assumption. The deal lead showed that at 20 a month occupancy would reach about 76% by October 2026, which would still be near the level at which the interest cover covenant is tested. Members asked that leasing be monitored monthly.
- Incentives and rents. The independent member questioned whether the two-week incentive and the A$1,120 two-bedroom budget rent were achievable against new build-to-rent supply in the Hornsby area. The deal lead noted that the plan carries no allowance for higher incentives, and that sustained incentive pressure would reduce net operating income and value.
- Interest reserve. Members asked whether A$1.9M is sufficient. It was accepted at this level given the low loan to value ratio, the sponsor guarantee and the short tenor. The committee asked that the balance be reported monthly.
- Valuation. The Head of Real Estate Credit noted that the A$211.5M value is on a completed asset and that the loan to value ratio has substantial headroom. The covenant is tested on each valuation, so any later valuation would be on an as is basis at current occupancy.

8. Key risks and mitigants

Risk	Mitigant
Lease-up slower than 26 a month	Monthly leasing reports; interest reserve; sponsor guarantee
Incentives or rents below plan	Quarterly interest cover test from 30 September 2026
Refinance or sale not achieved by maturity	29.3% loan to value ratio; first mortgage; sponsor support
Fall in asset value	55.0% loan to value covenant tested on each valuation
Interest shortfall during lease-up	A$1.9M reserve held by the lender; monthly cash interest

Table 5. Key risks and mitigants

9. Covenants

Covenant	Requirement	Testing
Loan to value ratio	Not more than 55.0%	On each valuation
Interest cover ratio	Not less than 1.25x	Quarterly, from 30 September 2026

Table 6. Financial covenants

10. Decision and conditions

The committee resolved, with all voting members present in favour, to approve the Calder Hills senior secured investment (lease-up) facility of A$62.0M on the terms of the paper dated 24 February 2026 and recorded in Table 3, subject to the following conditions.

Conditions precedent to drawdown

- Executed facility agreement on the approved terms, including the covenants in Table 6.
- First-ranking registered mortgage over Calder Hills and a general security deed from the borrower.
- Guarantee from Calder Property Group Holdings Pty Ltd.
- Funding of the A$1.9M interest reserve, held by the lender, at financial close.
- Valuation of A$211.5M at practical completion addressed to Quillwood Credit Partners, and evidence of practical completion.

- Confirmation that the construction facility will be repaid and its security released at financial close.
- Insurance certificates noting the lender's interest, and satisfactory legal due diligence.

Conditions subsequent and ongoing

- Monthly leasing and net operating income reporting from the leasing manager, with the interest reserve balance.
- Quarterly compliance certificate signed by two authorised officers, with interest cover tested from 30 September 2026.
- Notice of any event that could affect the exit by sale or refinance before 30 November 2026.

11. Actions

Action	Owner	Due
Finalise facility and security documents	General Counsel	20 March 2026
Confirm CP satisfaction and release of funds	Deal lead	31 March 2026
Set up monthly leasing and reserve reporting	Portfolio Management	31 March 2026
Report leasing against plan to the committee	Portfolio Management	30 June 2026
Prepare exit strategy update ahead of first interest cover test	Deal lead	31 August 2026

Table 7. Actions arising

12. Sign-off

Role	Signed	Date
Credit analyst (preparer)	Signed	3 March 2026
Deal lead	Signed	3 March 2026
Chair, Investment Committee (approver)	Signed	3 March 2026
Committee secretary	Signed	3 March 2026

Table 8. Analyst and approver sign-off

The meeting closed after consideration of this item. These minutes are to be confirmed at the next Investment Committee meeting.